

September 2025 Investor Update

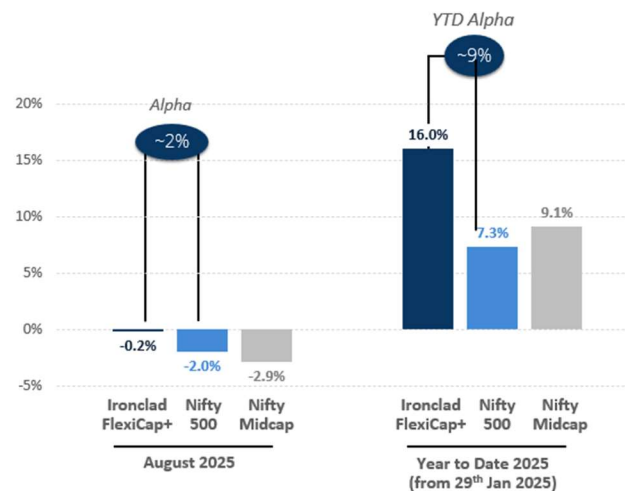
Ironclad Asset Management | FlexiCap+ PMS Strategy

Dear Investors,

August has been a month of contrasts — headlines around tariffs and bond market volatility have unsettled sentiment, even as India's domestic growth story remains intact with a 7.8% GDP expansion in Q1FY26. In this update, we reflect on our portfolio construction, share our perspective on India's macro environment as GST 2.0 takes shape, and discuss the balance we maintain between steady compounding growth businesses and catalyst-driven special situations.

Together, these themes illustrate how we aim to deliver sustainable value creation through cycles.

Performance Update



In a month when broader markets corrected— with the NSE 500 down **-2.0%** and the Nifty Midcap lower by **-2.9%** — Ironclad PMS declined just **-0.2%**. For YTD 2025, the portfolio has compounded **+16.5%**, delivering a **9.1% alpha** over the NSE 500 and reinforcing the strength of our investment framework.

We take confidence in the fact that this relative stability, even amid broad-based declines, reflects the way our portfolio has been deliberately constructed — both in terms of sectoral allocation and stock selection discipline. Our approach means that while we may lag marginally in sharp “risk-on” phases, we may fall less during market drawdowns. Over a full cycle, this construction should translate into sustainable, high-teen returns, which is our long-term objective.

Investing, in our experience, is as much **psychological as financial**. The reason most end-investors underperform the products they invest in is not financial, but behavioural: they redeem during downturns and fail to participate in the subsequent recovery. To counter this, it is critical to own a mix of companies that not only compound earnings consistently but also command market confidence in downturns. Capital markets are by nature cyclical – one cannot escape this. But our endeavour is to find companies where valuations maybe cyclical, but earnings growth should be structural. So, at peak cycle they may be valued 30x earnings, at bottom 15x earnings. But the base earnings by and large should grow at Nominal GDP++

in between such cycles. Such companies, typically with superior earnings visibility and strong governance, tend to decline less than the broader market, giving investors the conviction to stay the course.

As we often illustrate, most patients will take their medicines, babies will need the odd diaper change, health insurance premiums will need to be paid and UPI payment for a cup of tea will continue. It's underlying economic transactions like these that should form the bedrock of returns in long term.

We remain on track to achieve our long-term return objective of **18–20% IRR** through cycles, and continue to hold a portfolio of 15–20 positions diversified across three core themes:

1. Financial and AuM-linked businesses
2. Brands across consumer and healthcare
3. Technology-driven product companies

India Macro and Market Landscape

India's macroeconomic backdrop remains resilient, though the recent escalation in U.S. tariffs has introduced fresh volatility. As of August 27, the U.S. imposed an effective 50% tariff on imports from India. The direct impact is expected to be modest—roughly 0.5% of FY26 GDP—with limited earnings effect on listed equities. Most of the sectors impacted are either unlisted or are small caps, thereby limiting the direct impact on index earnings.

However, the second-order risks are more material: asset-quality stress in export-linked sectors (notably textiles and jewellery, which account for ~1.2% of bank loans), potential layoffs affecting low-income workers, and a near-term drag on consumption sentiment. These risks will likely be cushioned by targeted government and RBI interventions, but they reinforce the importance of India's domestic demand as the primary growth driver.

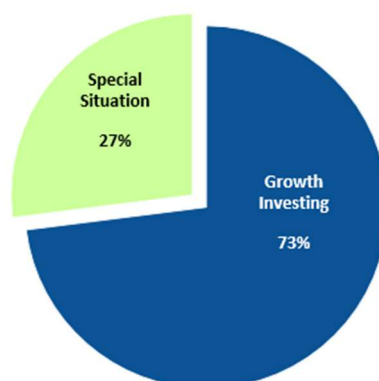
On the positive side, policy support remains strong. The GST 2.0 reform, expected to be announced in early September, could act as a meaningful growth catalyst. A shift to a three-tier tax structure is anticipated, with the 40% slab likely restricted to a narrow set of categories. While this may temporarily widen fiscal deficits (by ~0.1–0.2% of GDP over FY26–27), it is viewed as a net fiscal expansion that could stimulate consumption and accelerate formalization.

The bond market has reflected these pressures, with the 10Y G-Sec yield rising ~32 bps since June. Yet, equity markets remain more anchored to expectations of earnings resilience, aided by fiscal and monetary support. Also, markets are circumspect about any potential impact on Q2FY26 revenues due to deferment in consumption – an early GST change will help markets get over this. Also, with RBI having already turned dovish, retains room for further rate cuts, particularly as inflation remains under control and crude prices stay range-bound.

Externally, India has faced Rs 527 bn in FPI outflows through July–August, alongside a weaker rupee relative to Asian peers. While this weighs on near-term liquidity, the broader macro framework—stable inflation, healthy forex reserves, political continuity, and robust private capex—continues to set India apart among large emerging markets.

In summary, despite the tariff-led sentiment shock and bond market stress, India's domestic demand story remains intact. Structural reforms (GST 2.0, infrastructure push, 100 days reforms guidance) combined with monetary support should help the economy navigate short-term disruptions and sustain 6–6.5% GDP growth through FY26 (Q1FY26 GDP growth of 7.8% was a positive surprise).

Portfolio Commentary



Moving away from the sectoral allocation, this month we talk about the split by *rate of change*. Our portfolio is consciously structured into two complementary buckets — Growth Investing and Special Situations.

- a) **Growth investing, 73% allocation** : This represents the bread-and-butter of our Flexicap portfolio. Companies amid their natural growth cycles, where we expect returns to broadly track earnings growth over time. These are stable compounders unlikely to undergo either dramatic re-ratings or severe de-ratings. To borrow a cricketing analogy, think of them as *Virat Kohli* (e.g. dependable financials) and *Cheteshwar Pujara* (e.g. steady consumer brands) of our cricket team.

YoY Growth (Q1FY26) Company	Growth Investments	
	Sales	Profit
Private Bank	10	16
NBFC	32	28
NBFC	10	13
NBFC	35	35
Financial Services	18	17
Financial Services	25	24
Consumer Brand	21	5
Consumer Brand	16	54
Consumer Brand	16	63
Pharma Brand	12	12
Pharma Brand	7	42
Pharma Brand	0	6
Consumer Brand (Tech)	7	2
Fintech	28	117
Median	16	21
% Allocation	73%	

As a group, these businesses delivered ~16% YoY revenue growth and ~21% YoY profit growth in Q1FY26 — far ahead of the NSE 500's 8.7% and 9.2% respectively.

Within our financials allocation, we continue to see robust momentum across private banks, non-bank lenders, asset managers, and financial distributors. The strength is underpinned by steady loan growth, improving asset quality, and strong fee income on the lending side, alongside consistent AuM accretion and operating leverage in asset management platforms. With financial penetration in India still at a relatively early stage, this segment provides both visibility and durability in compounding earnings.

Our consumer and healthcare brands allocation shows a similar outperformance pattern. Revenues are growing in the mid-teens, while profits are expanding at a significantly faster pace, aided by operating leverage. These businesses benefit from a combination of volume-led demand growth, pricing power, and margin resilience — underpinned by strong brand equity and distribution strength. Compared with the broader market, where revenue and profit growth in Q1FY26 was confined to single digits, brand-driven companies in our portfolio continue to demonstrate superior consistency and the ability to compound through cycles.

- b) **Special/Rerating situations, 27% allocation** : These allocations on the other hand, are where we pursue idiosyncratic opportunities with catalysts. Companies undergoing change at a business or sectoral level, whether it is a transition from losses to profits, market share recovery, or corporate restructuring. These positions combine earnings growth with the potential for valuation re-rating and hence offer the prospect of outsized (25%+) returns when catalysts play out. In cricketing terms, these are our *Rishabh Pant* — dynamic, aggressive bets that can change the scoreboard quickly, though with risks if the trigger does not play out or takes longer to materialize. When they play out well, they add long-term alpha to our portfolios (think Gabba 2021). When they don't, it contributes to drag.

YoY Growth (Q1FY26)	Rerating / Special Sits	
Company	Sales	Profit
Private Bank	10	(29)
Financial Services	11	(18)
NBFC	12	(6)
Consumer Brand (Tech)	13	Loss
EV	(50)	(32)
EV	79	3
Median	11	(18)
% Allocation	27%	

Revenue growth here is modest at ~11% YoY, with profits either flat or declining. This is by design: these companies are in the midst of change, where the investment case rests on catalysts that can materially alter earnings and valuations. For instance, the ability of health insurers to pass on medical inflation to consumers can sharply improve combined ratios and profitability; a credit card-heavy lender requires the current stress in unsecured lending to ease, which

would decrease provisions and lift ROEs and P/B multiples; and EV manufacturers need steady gains in penetration, market share, and volumes to move into profitability. These require time and patience for the underlying triggers to materialize.

The payoff, however, is typically sharp and non-linear. August offered a glimpse of this dynamic, as EV names rebounded strongly from recent lows, rising more than 50% in just two weeks even though the industry's fundamentals are still normalizing. This is the nature of special situations: long periods of apparent drag followed by swift re-ratings when the catalyst becomes visible — whether through government policy, industry data points, or company-level execution. While the exact month or quarter of such inflections cannot be predicted, our discipline is in owning these positions with appropriate sizing and waiting for the thesis to unfold. When it does, the returns are in sharp bursts and often outpace traditional compounding businesses.

Our Portfolio Philosophy: Staying the Course

Taken together, our FlexiCap+ PMS portfolio is a deliberate blend of growth investing — the steady compounding engine — and special situations — the opportunistic re-rating plays. Each approach brings its own strengths and risks: growth investments offer visibility, resilience, and consistency, while special situations carry higher uncertainty but the potential for sharp, outsized gains. Our role as portfolio managers is to allocate appropriately across these buckets, balancing stability with optionality, so that the portfolio as a whole compounds capital sustainably through cycles.

Our portfolio today reflects high-conviction, bottom-up ideas—across product-based tech, financials, and brand-centric firms. We continue to avoid consensus trades and cyclical plays with poor capital discipline.

Why PMS? Why Ironclad?

We reiterate: a PMS structure offers flexibility and sharp execution in ways large mutual funds cannot. As mutual fund AUMs balloon, they struggle to take 3–5% positions in midcaps without impacting stock liquidity. We, on the other hand, can enter early and size meaningfully when the opportunity is right.

At Ironclad, our FlexiCap strategy is built for discerning investors looking to grow long-term wealth via deep diligence, thoughtful position sizing, and high-conviction bets—not index-hugging.

Our investment inspiration continues to be drawn from Buffett, Klarman, and Akre, and our execution remains firmly rooted in first principles.

Final Thoughts

The current market backdrop underscores why disciplined investing matters. Headline risks — from global tariffs to bond market volatility — continue to dominate sentiment, yet beneath the noise, India's domestic growth drivers remain intact. Our portfolio construction, anchored in a balance of steady growth compounders and selective special situations, is designed precisely for such environments: to participate meaningfully in the upside, while cushioning the downside when volatility strikes.

As always, our focus stays on the controllables — the quality of businesses we own, the earnings power they compound, and the discipline of our entry price. Cycles will come and go, but a patient, process-driven approach ensures that we compound wealth sustainably over the long term. We thank you for your continued trust in Ironclad Asset Management and look forward to navigating the opportunities ahead together.

Thank you for your trust in Ironclad Asset Management.

We look forward to continuing this journey together.

Warm regards,

Team Ironclad Asset Management

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